

What is Financial Reports / Management Reporter?

MR Report in D365 is a financial reporting tool in Microsoft Dynamics 365 Finance used to generate real-time reports like Profit & Loss, Balance Sheet, and Cash Flow directly from the General Ledger.

It is built using Row, Column, and Reporting Tree and helps businesses analyse financial performance, make decisions, and produce accurate reports quickly.

Key Features

- Real-time data from General Ledger
- Drill-down capability (view transaction details)
- Multi-company and multi-currency support
- Export to Excel, PDF
- Secure role-based access

MR report creation:

<https://learn.microsoft.com/en-us/dynamics365/fin-ops-core/fin-ops/analytics/design-financial-report-definitions>

Row definition:

<https://learn.microsoft.com/en-us/dynamics365/fin-ops-core/fin-ops/analytics/row-definitions-financial-reporting>

Column definition:

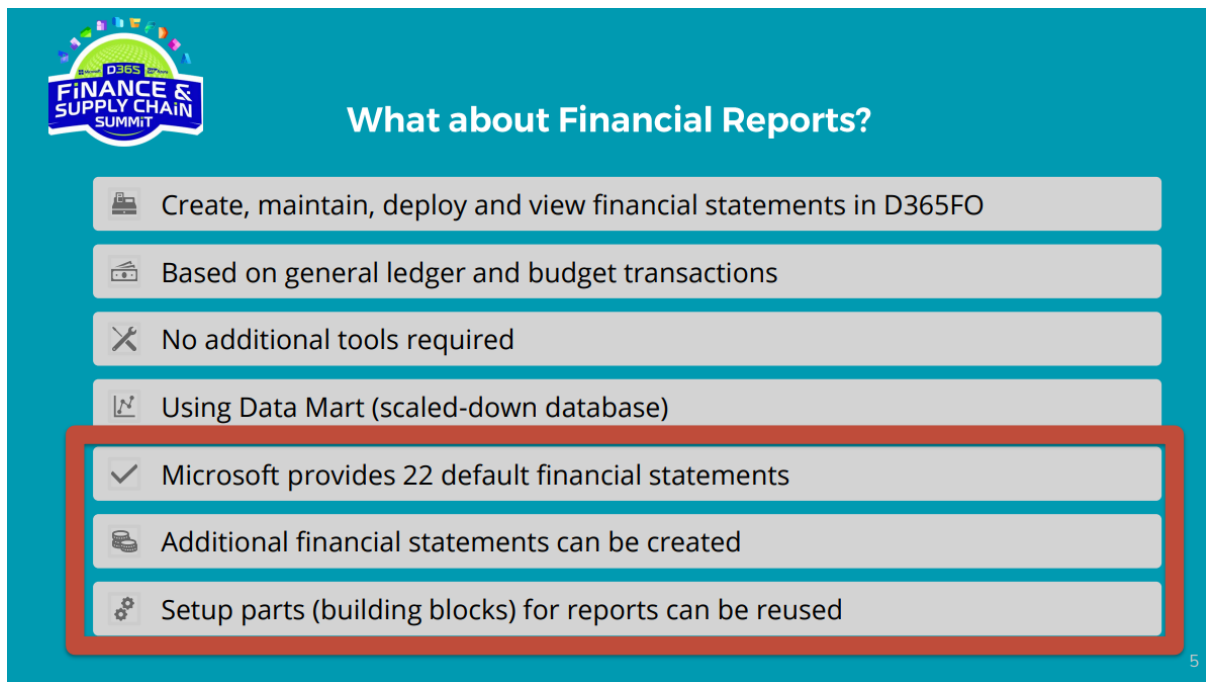
<https://learn.microsoft.com/en-us/dynamics365/fin-ops-core/fin-ops/analytics/column-definitions-financial-reports>

Tree definition:

<https://learn.microsoft.com/en-us/dynamics365/fin-ops-core/fin-ops/analytics/financial-reporting-tree-definitions>

Financial Reports is a tool to create, maintain, deploy, and view financial statements from data in D365FO. The scope is the General Ledger, which means that you can create financial statements based on ledger transactions and budget transactions.

You don't need additional tooling or licenses to use this reporting functionality. Microsoft already provides you 22 default financial statements, which needs to be mapped to your main account setup to be able to use them. Also you can create your own financial statements based on a lot of options to choose from. And this is exactly why you need to know this option: you can create your 'own' financial statements with amounts presented how you want it, based on 'real time' data from D365FO.

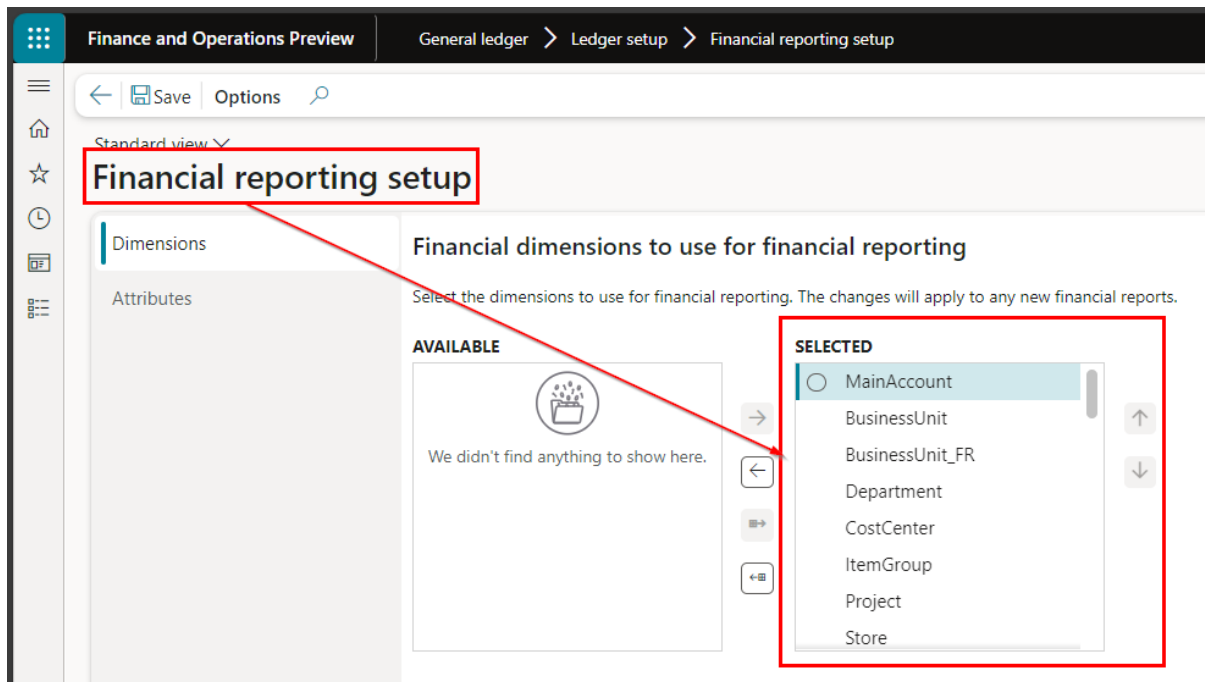


What about Financial Reports?

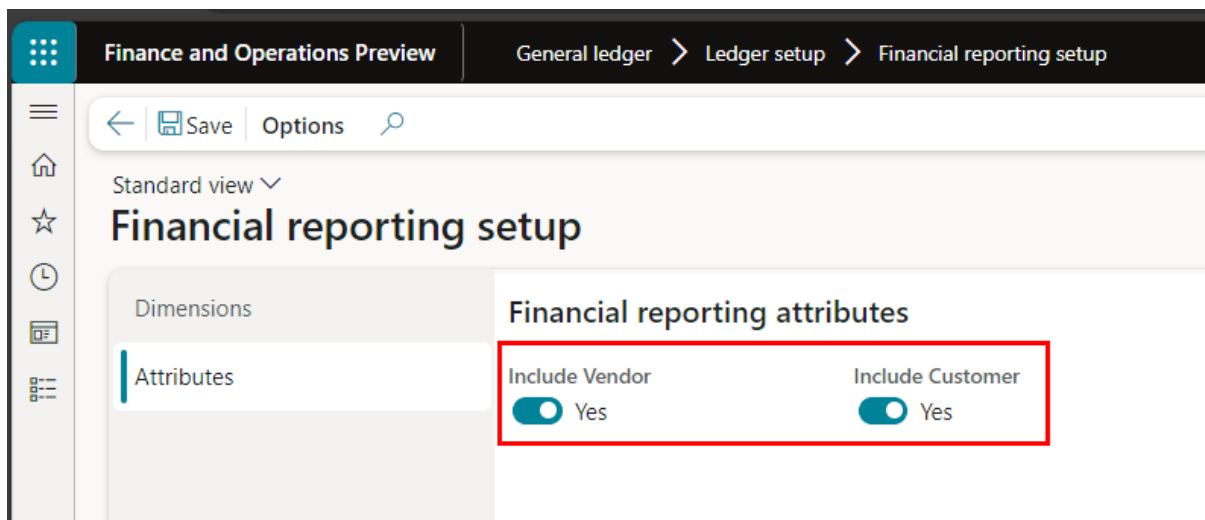
- Create, maintain, deploy and view financial statements in D365FO
- Based on general ledger and budget transactions
- No additional tools required
- Using Data Mart (scaled-down database)
- ✓ Microsoft provides 22 default financial statements
- Additional financial statements can be created
- Setup parts (building blocks) for reports can be reused

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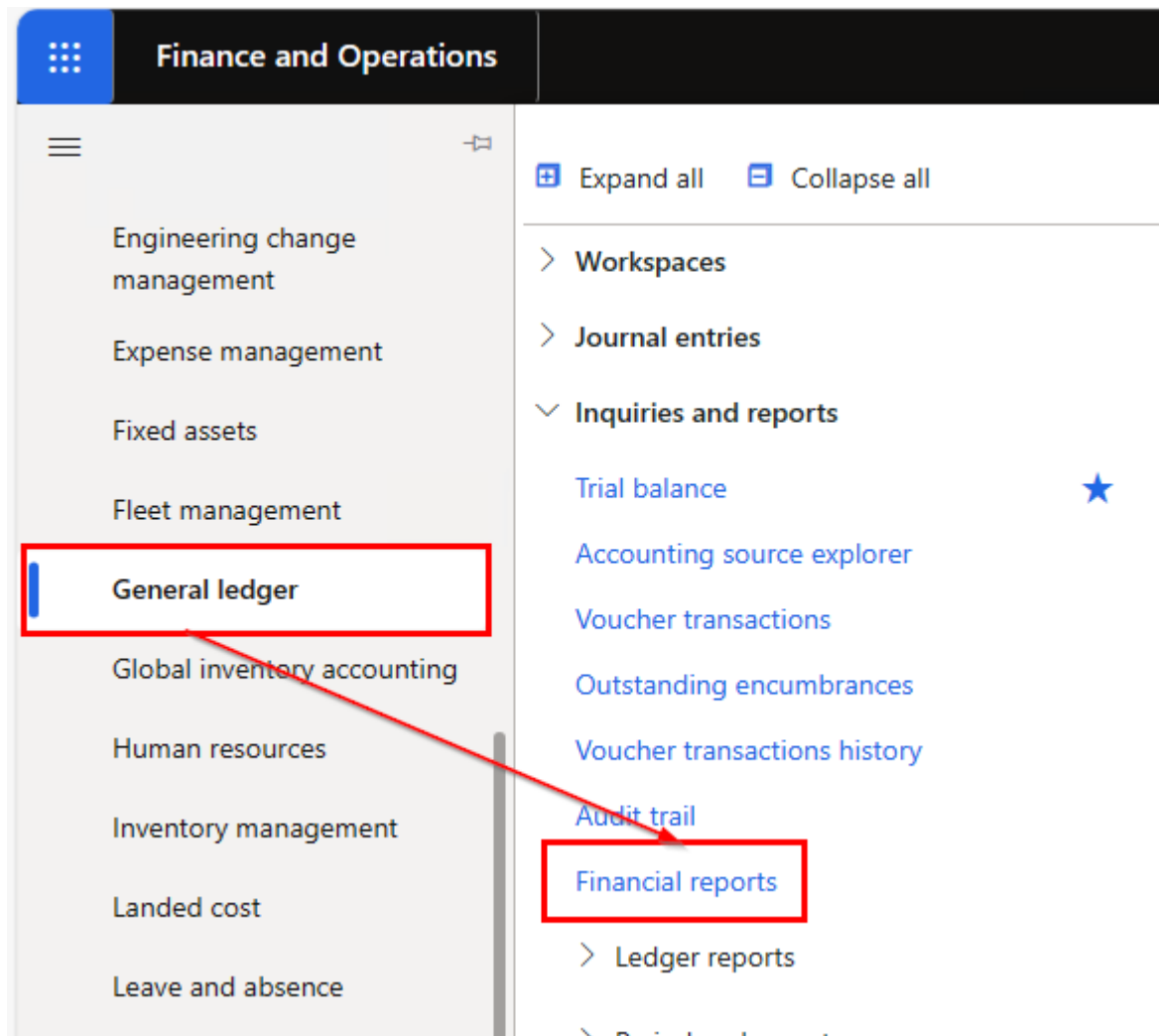
Important to do before using the Financial Reports option in D365FO is to check if the prerequisites are correct already. You can check this at the option 'Financial Reporting setup' in the Ledger Setup options of the General Ledger module. In this form you can check if all financial dimensions are available to use in Financial Reports (and exclude some when you don't need them).



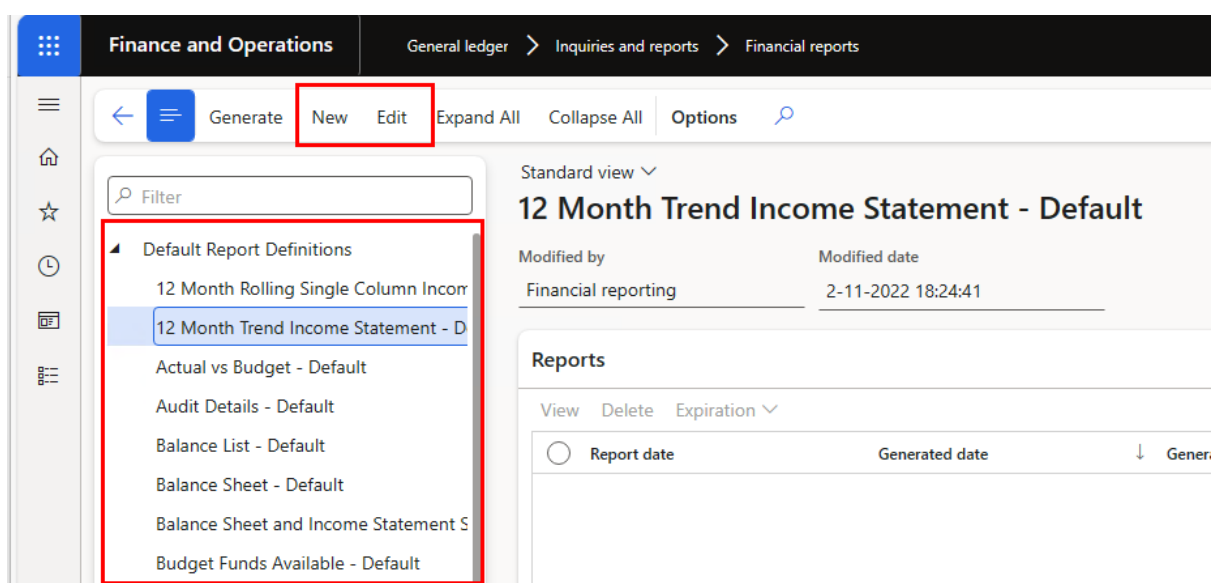
In the tab 'Attributes' you can decide if you want the Vendor and Customer name being available as well when it comes to transactional details in the reports for example on the Vendor balance or Customer balance accounts.



When these options are checked and ok, you can use the options of Financial Reports. In D365FO you can open this option from several modules, including the General Ledger module:



First you will find a form where the current available financial statements are presented. In this form you can click on the button 'New' or 'Edit' to open the Report Designer:



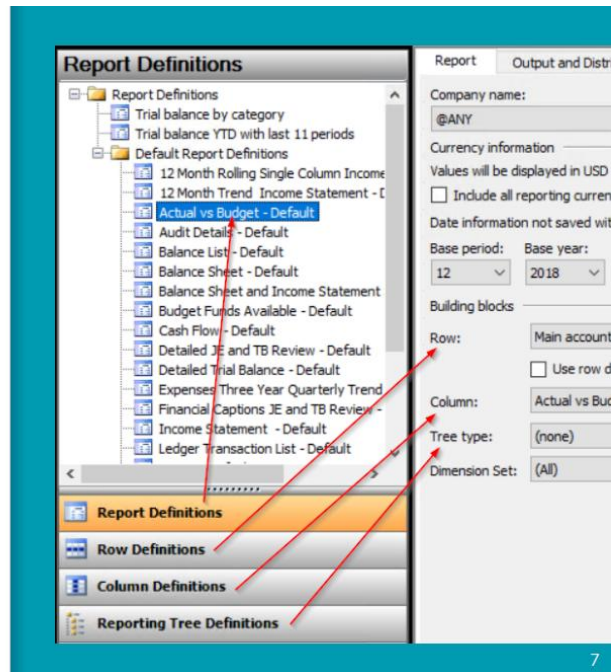
You have to download the Report Designer and when finished you have to login again with your D365FO credentials. Sometimes you have to wait a bit before the Report Designer will

open, but at the end you will have an extra application open where the settings of the financial statements can be defined. Here you can change the setup of existing financial statements and create new statements. Each financial statements is created based on building blocks:



Building blocks (1 of 3)

- **Row definition:** descriptive lines related to segment values / calculations
- **Column definition:** periods and amount types to use
- **Reporting tree definition:** organizational charts (multi legal entity)
- **Report definition:** combination of definitions to use and additional options and settings



In each report you use at least three building blocks:

Row definitions: this is what you relate to segment values or calculations to create the rows you want to present on the financial statement. You can think about links to individual main accounts (or total accounts, this is why the main account type 'total' is available in D365FO), main account categories or combinations of main accounts and financial dimensions. So for each row you can setup what kind of financial level you want to present.

Column definitions: Here you define the columns of your financial statement, based on the kind of amounts you want to present in the column (actuals, budget or calculation) and the periods that you want to present in the columns (like period, quarter, year). Unlike the Trial Balance in D365FO here you can present several different years in one report.

Report definition: Here you have the common settings of the report, like the rounding, how to present negative / credit amounts and also you link here the row definition and column definition to use in this financial report.

In addition to this, you can also use one more building block:

Reporting tree definition: This is what you use when you for example want to consolidate the amounts of multiple legal entities.

The combination of these building blocks, creates the financial statement. If you Generate the financial statement, the building blocks are combined and will generate the statement based on the reporting date you enter by generating:

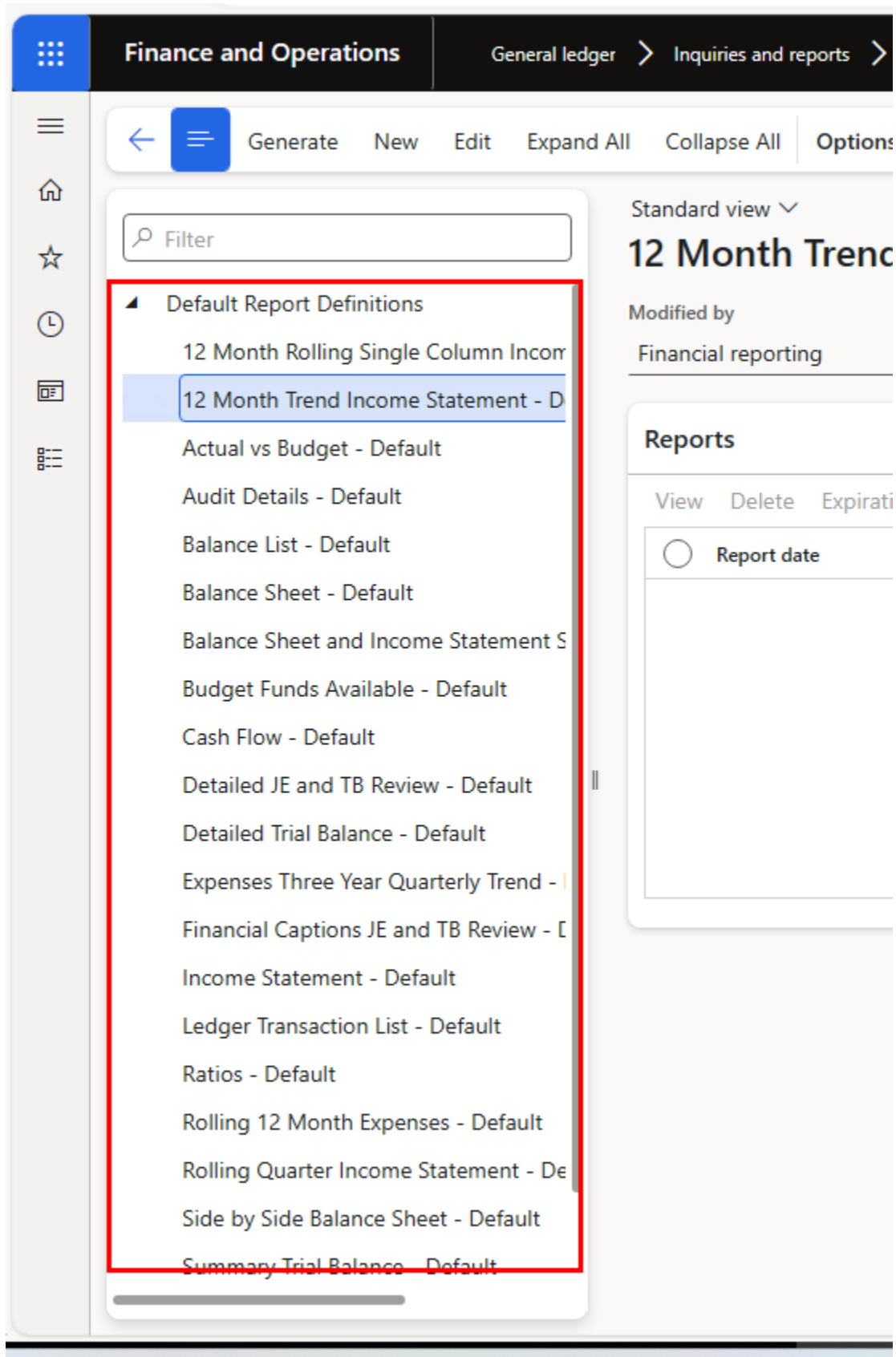


Building blocks (2 of 3)

Report definition														12 Month Trend Income Statement - Default	
														Contoso Entertainment System USA	
Column definition															
Row definition															
	January	February	March	April	May	June	July	August	September	October	November	December	YTD		
Sales	0,00	0,00	0,00	0,00	0,00	0,00	0,00	100,00	910,00	0,00	(250,00)	150,00	910,00		
Sales Returns and Discounts	0,00	0,00	0,00	0,00	0,00	0,00	0,00	1,00	1,25	0,00	(1,75)	0,00	0,50		
Other Income	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	10,00	5,50	15,50		
Total Revenues	0,00	0,00	0,00	0,00	0,00	0,00	0,00	101,00	911,25	0,00	(241,75)	155,50	926,00		
Cost of Goods Sold	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	1.556,92	0,00	0,00	0,00	1.556,92		
Gross Profit	0,00	0,00	0,00	0,00	0,00	0,00	0,00	101,00	(645,67)	0,00	(241,75)	155,50	(630,92)		
Manufacturing Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	3.300,00	0,00	100,00	0,00	24.590,20	27.990,20		
Selling and Advertising Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00		
Salary Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00		
Other Employee Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00		
Vehicle, Building and Maintenance and Administration Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	10.500,00	3.044,00	1.000,00	3.998,00	18.542,00		
Depreciation Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	10,00	13,33	23,33		
Tax Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00		
Travel and Entertainment Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	0,00	(50,00)	0,00	500,00	200,00	650,00		
Other Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	100,00	0,01	0,01	0,00	0,00	100,02		
Total Operating Expenses	0,00	0,00	0,00	0,00	0,00	0,00	0,00	3.400,00	10.450,01	3.144,01	1.510,00	28.801,53	47.305,55		

The default reports and your own reports

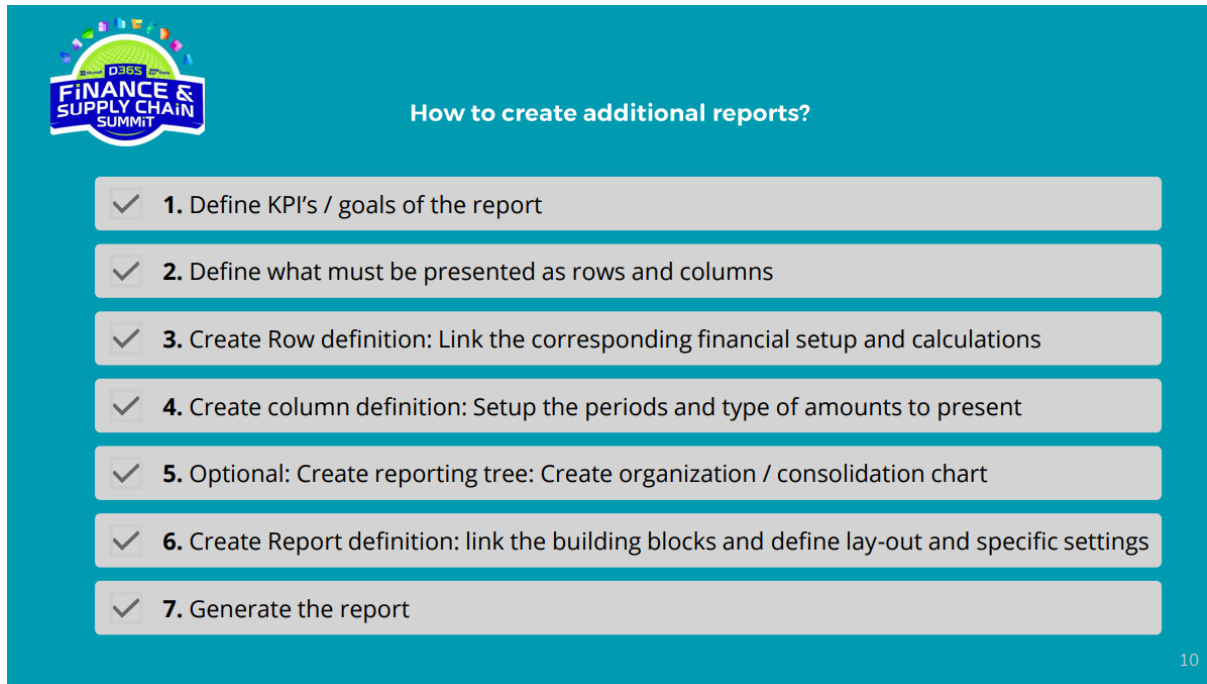
Microsoft provides already 22 financial statements in D365FO:



Most of these reports contains mapping with the main account categories which you can setup on the main accounts. To use these default reports the change is big that you need to

check the mapping in the Report Designer at the Row definition, and change the mapping when you use other main account categories.

Also you can create your own financial statements where you start with empty Row definitions and Column definitions and start from scratch. Where to think about when you want to create your own financial statements?



How to create additional reports?

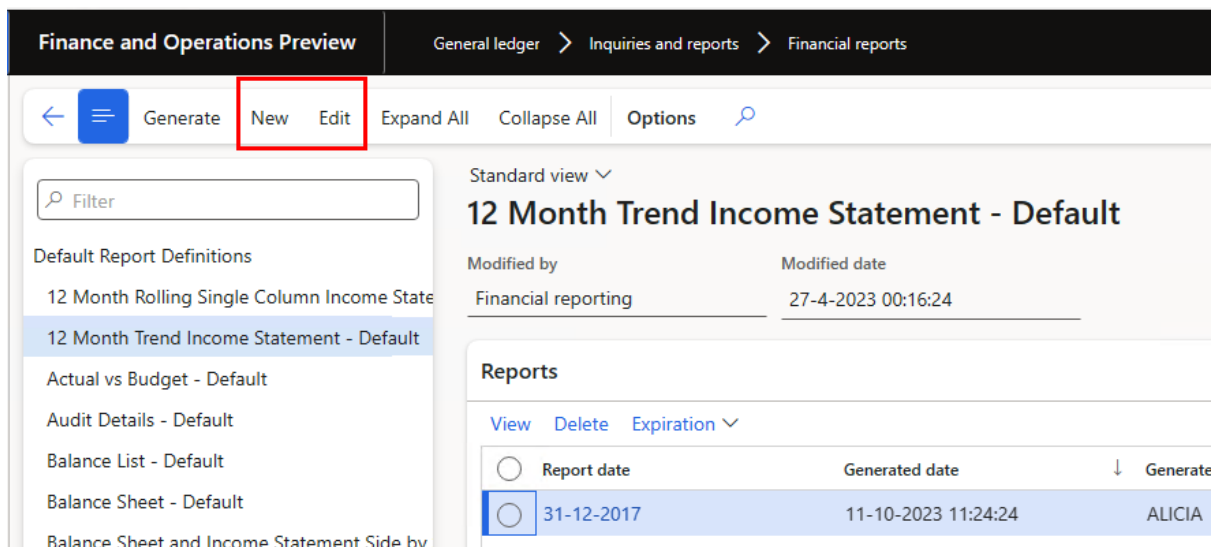
- ✓ 1. Define KPI's / goals of the report
- ✓ 2. Define what must be presented as rows and columns
- ✓ 3. Create Row definition: Link the corresponding financial setup and calculations
- ✓ 4. Create column definition: Setup the periods and type of amounts to present
- ✓ 5. Optional: Create reporting tree: Create organization / consolidation chart
- ✓ 6. Create Report definition: link the building blocks and define lay-out and specific settings
- ✓ 7. Generate the report

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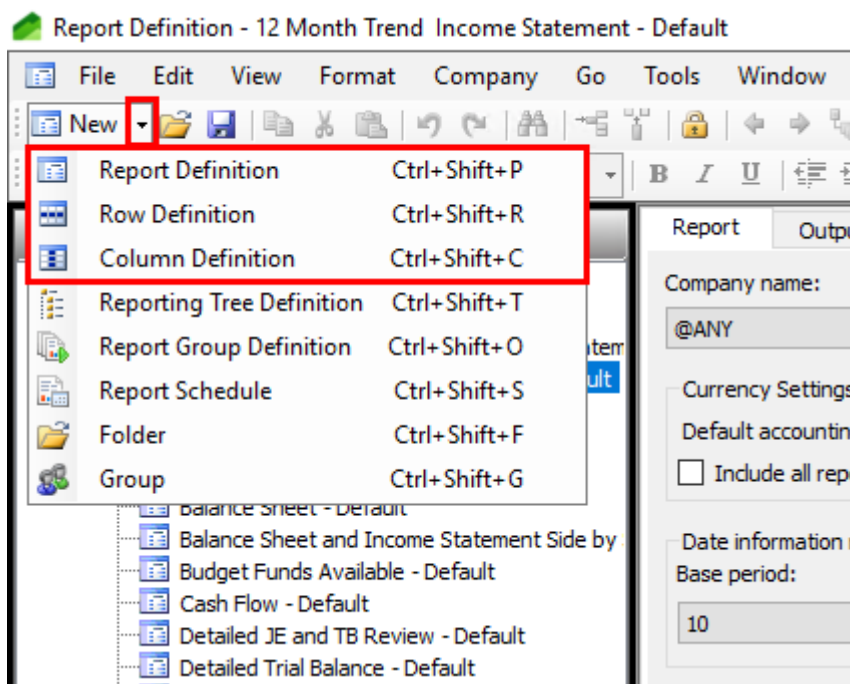
Instruction how to create your own report

My experience with Financial Reporting is: keep it simple and people will quickly understand how the tool works. Based on that knowledge they can extend it when they need other things then the basic. But first, the basic. So in this example I make a very simple financial statement. Once you have build this for yourself, the next step can always come!

For opening the Financial Report designer, you have to click on 'New' or 'Edit' in the Financial Reports form:



You have to download the Report designer and you need to login again with your D365FO credentials. In the Report designer you will see the building blocks described above. By clicking on the arrow besides 'New', you can select what building block you want to create. In this example I focus on the Report definition, Row definition and Column definition:



Row definition

I start with creating a Row definition In the row definition you define the rows where to present amounts of in the financial statement. I make a very simple row overview:

In row 100 I select in column J the main account 401100 (Product sales). Based on that selection in column B the description of the statement is entered automatically but I can change if I want. In Column F I select that I want to 'Credit' this amount (because revenue is posted on the credit side in the ledger but for reporting purpose I want to turn it around to a debit amount).

In row 130 I add main account 500100 (Cost of Goods Sold - Finished Goods).

In row 190 I enter in column C the Format code 'TOT', which means Total. In Column D I enter that I want the total of row 100 (revenue) minus row 100 (cost of goods sold) to calculate the gross margin:

A Row Code	B Description	C Format Code	D Related Formulas / Rows / Units	E Format Override	F Normal Balance	G Print Control	H Column Restriction	I Row Modifier	J Link to Financial Dimensions
100	Product Sales								+MainAccount = [401100]
130	COGS - Finished Goods								+MainAccount = [500100]
160									
190	Gross margin	TOT	100-130						
220									

After saving I have the row definition able to use it in a report.

Column definition

Now I create a column definition. In this column definition I define the columns of the report where I select what kind of amounts I want to present (for example actuals or budget amounts) and over what period needs to be reported (month, or year amounts for example).

In Column A I select the column type 'DESC' to add the description from the row definition in the first column.

In Column B and C I add the column type 'FD' for the current period and Year to Date (YTD). In the print screen below you can see my example and all the column types available:

	A	B	C	D	E	F
Header 1		Actuals	Actuals			
Header 2						
Header 3	Description	Current month	YTD			
Column Type	DESC	FD	FD			
Book Code / Attribute Category		Actual	Actual			
Fiscal Year		BASE	BASE			
Period		BASE	BASE			
Periods Covered		PERIODIC	YTD			
Formula						
Column Width	AutoFit	AutoFit	AutoFit			
Extra Spaces Before Column						
Format / Currency Override						

Report definition

Now I create a new Report Definition where all the settings for the financial statements comes together. I select here that I want to use the created Row and Column definition and can make additional settings like rounding, how to present credit amounts and so on:

Report Definitions

Report: Output and Distribution Headers and Footers Settings

Company name: @ANY Detail level: Financial, Account, & Transaction

Currency Settings
Default accounting currency for report: USD
☐ Include all reporting currencies (GBP, EUR, INR, BRL, RUB, MXN, MYR)

Date information not saved with report definition
Base period: 10 Base year: 2023 Period covered: For the Ten Months Ending

Building blocks
Row: Sales row
☐ Use row definition from reporting tree
Column: Sales column
Tree type: (none)
Dimension Set: (All)

Result

First I post a sales order where (besides customer balance and vat) revenue and cost of goods sold are posted in the general ledger:

Date	Year closed	Ledger account	Account name	Description	Currency	Amount in tra...
1-2-2024		202100-002-	California State Tax Payable	Revenue	USD	-50,75
1-2-2024		401100-002---	Product Sales	Revenue	USD	-1.500,00
1-2-2024		130100-002-	Accounts Receivable - Domestic	Revenue	USD	750,75
1-2-2024		500100-002---	COGS - Finished Goods	Revenue	USD	800,00

These two main accounts are also used in the financial statement. Now in D365FO I run the report by clicking on the 'Generate' button and select the period where I want to report for:

Generate financial report

Parameters
Report date: 28-2-2024

D365FO will use the last day of that period to report. When the report is created by D365FO by clicking on the report date or select the row and click on 'view':

Finance and Operations Preview

General ledger > Inquiries and reports > Financial reports

The financial report will be generated while you continue to work.

Generate New Edit Expand All Collapse All Options

Filter

Sales report

- Default Report Definitions
 - 12 Month Rolling Single Column Incomm
 - 12 Month Trend Income Statement - D
 - Actual vs Budget - Default
 - Audit Details - Default
 - Balance List - Default
 - Balance Sheet - Default

Standard view

Sales report

Modified by: ALICIA Modified date: 27-11-2023 19:57:56

Reports

View Delete Expiration

Report date	Generated date	Generated by	Expires after
29-2-2024	27-11-2023 20:16:07	ALICIA	26-2-2024

The result will be presented then:

Finance and Operations Preview

General ledger > Inquiries and reports > Financial reports

Options

Reporting Tree Show Zoom Currency Export Report Options Print

Search in report Previous Next

CONTOSO ENTERTAINMENT SYSTEM USA

For the Two Months Ending donderdag 29 februari 2024

Description	Actuals Current month	Actuals YTD
Product Sales	\$ 1.500,00	\$ 1.500,00
COGS - Finished Goods	800,00	2.000,00
Gross margin	700,00	(500,00)

In the column 'Current month' you can exactly see the amounts of the voucher presented above. In the second column 'YTD' (Year to date) you can see a higher amount of COGS, based on other postings as well in January. But the amounts presented here are directly reported from the General Ledger in D365FO based on the created reporting structure described above.

I have made a very small statement to give a simple example how you can report directly from the general ledger transactions based on your own classifications. But of course bigger reports and reports on higher level are possible:

Report Date: 31-12-2017

	January	February	March	April	May	June	July	August	September	October	November	December	YTD
Sales	5,134.39	1,007.13	345,027.28	53,947.83	80,568.80	1,390.17	1,111.98	151,134.22	201,156.91	1,180.04	101,203.65	802,227.72	1,745,090.12
Sales Returns and Discounts	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other Income	140.00	6,035.00	0.00	0.00	116.00	61.63	0.00	0.00	0.00	0.00	0.00	0.00	6,352.63
Total Revenues	5,274.39	1,007.13	351,062.28	53,947.83	80,684.80	1,451.80	1,111.98	151,134.22	201,156.91	1,180.04	101,203.65	802,227.72	1,751,442.75
Cost of Goods Sold	418,785.08	(7,260.34)	600,468.90	108,667.95	507.36	527.84	549.27	(6,539.39)	594.42	618.39	643.39	669.39	1,118,232.26
Gross Profit	(413,510.69)	8,267.47	(249,406.62)	(54,720.12)	80,177.44	923.96	562.71	157,673.61	200,562.49	561.65	100,560.26	801,558.33	633,210.49
Manufacturing Expenses	(147,972.23)	(0.12)	(50,000.00)	0.00	100.00	233,421.72	14,462.59	0.00	0.00	0.00	0.00	0.00	50,011.96
Selling and Advertising Expenses	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Salary Expenses	(413.01)	(429.66)	(447.07)	99,534.73	(483.80)	(503.37)	(523.78)	(545.06)	(566.78)	(589.61)	(613.39)	(638.16)	93,781.05
Other Employee Expenses	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Vehicle, Building and Maintenance and Administration Expenses	(59,074.06)	0.00	0.00	(1,000.00)	0.00	52,873.43	4,837.23	0.00	2,396.27	0.00	0.00	1,000.00	1,034.87
Depreciation Expenses	(139,350.08)	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	17,600.00	54,249.92
Tax Expenses	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Travel and Entertainment Expenses	(20.20)	(21.00)	(21.83)	(22.69)	(23.56)	(24.47)	(25.49)	(26.55)	(27.64)	(28.78)	(30.00)	(31.23)	(203.54)
Other Expenses	(98,000.01)	9,837.57	0.00	(1,797,383.56)	1,879,500.86	1,997.50	0.00	4,272.50	799.00	0.00	0.00	0.00	1,023.86
Total Operating Expenses	(444,829.59)	26,986.79	(32,868.90)	(1,681,271.51)	1,896,693.50	305,364.81	36,350.55	21,300.89	20,202.85	16,981.61	16,956.61	17,930.61	199,798.22
Gains and Losses	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net Operating Income	31,318.90	(18,719.32)	(216,537.72)	1,626,551.39	(1,816,516.06)	(304,440.85)	(35,787.84)	136,372.72	180,359.64	(16,419.96)	83,603.65	783,627.72	433,412.27
Income Taxes, Interest and Extraordinary Items	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net Income	31,318.90	(18,719.32)	(216,537.72)	1,626,551.39	(1,816,516.06)	(304,440.85)	(35,787.84)	136,372.72	180,359.64	(16,419.96)	83,603.65	783,627.72	433,412.27

To get to financial reports in Dynamics 365 Finance & Operations, navigate to Modules > General ledger > Financial reports.

[illegible]

Rows, Columns, and Trees

All financial reports in Dynamics 365 Finance & Operations are made up of 3 components: rows, columns, and trees.

Rows are the lines of each report. These may be accounts or groups of accounts that represent, for instance, sales vs cost of sales vs expenses.

Columns are usually the periods you are comparing, like current month and year to date. They can also be comparatives, like percent of sales or percent of variance between the budget for a month and the month actual.

Columns also look after the headers of the report.

Income Statement - Default

Contoso Entertainment System USA

Rows

Sales
Sales Returns and Discounts
Other Income
Total Revenues
Cost of Goods Sold
Gross Profit

Columns

June	YTD
449,689.00	460,414.00
0.00	0.00
1,612.95	(2,619.30)
451,301.95	457,794.70
(15,903.28)	(15,895.28)
467,205.23	473,689.98

Trees allow the user to produce multiple reports, usually by department or division, that roll up to a top-level report.

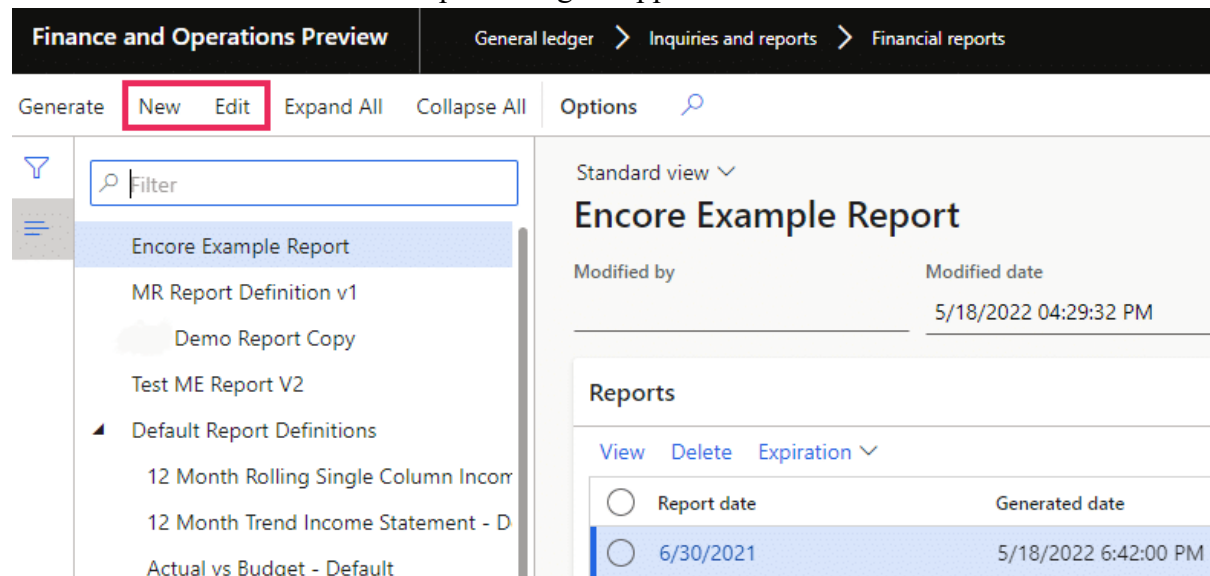
Trees are optional. If you use no tree, your report will show figures for all departments and divisions together.

Reports in D365FO also require a [report definition](#).

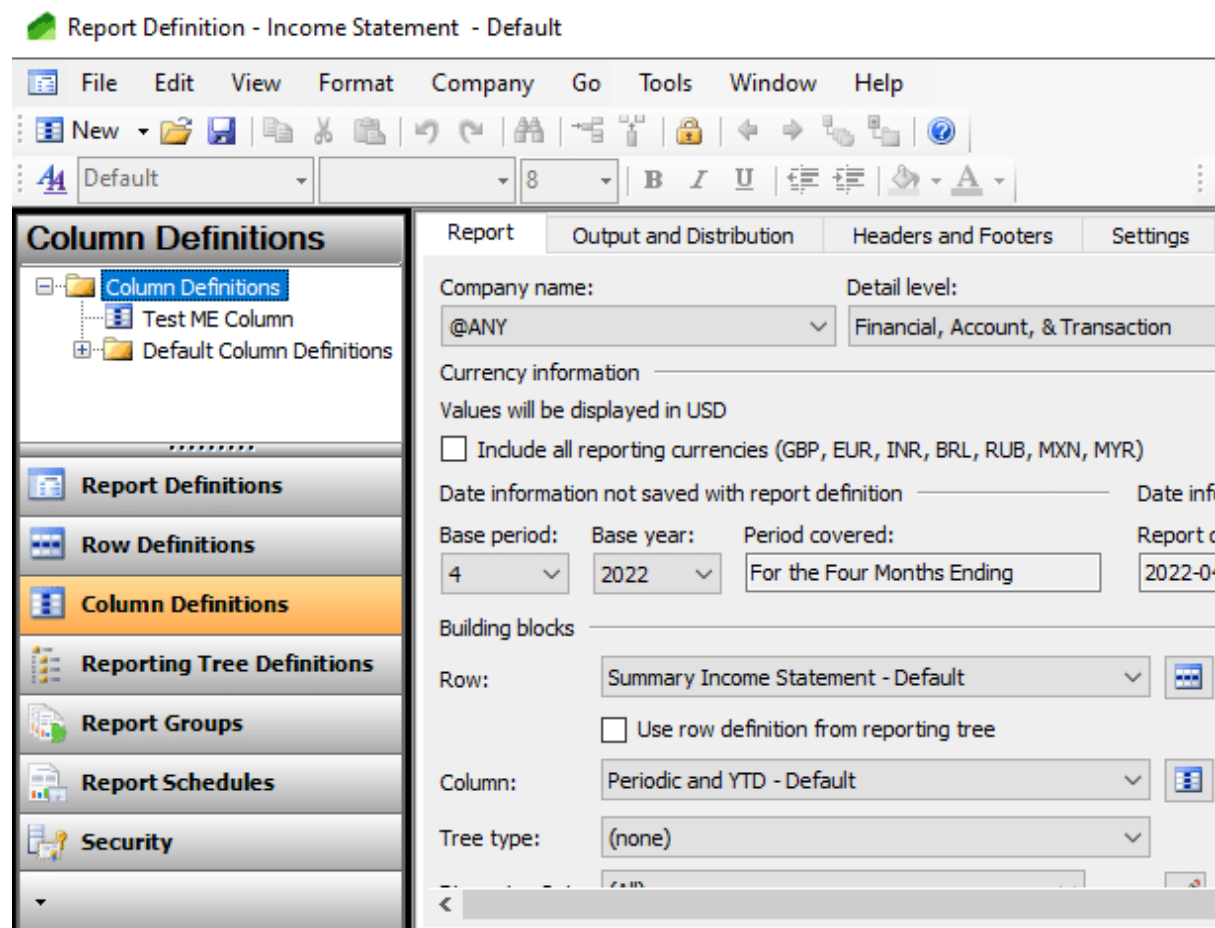
Dynamics 365 Finance Report Designer

You can view and generate reports directly from the financial reports section of D365FO. But if you choose to “edit” or create a “new” report in Dynamics 365 financial reports, you may

need to download the Finance Report Designer application.



The report designer application will open a window that lets you define your report, like so:

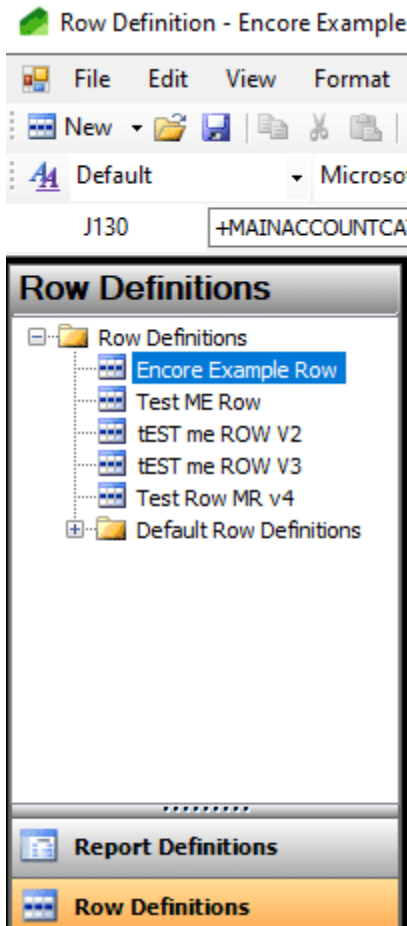


Depending on your browser, you may receive an error message when you first try to open this application, saying “Application cannot be started. Contact the application vendor.”

However, you usually don’t need to contact the vendor, and may be able to solve the problem by getting a certain Edge or Chrome extension, such as Meta4 ClickOnce Launcher.

Defining Rows in Report Designer for D365FO

1. Click on Row Definitions in the left-hand side of the Report Designer window. Then either click on an existing definition to edit or click on “New”.



2. For a given row, add a simple description in column B, like “Net Sales.” And then in column J, double click again to link to the financial dimensions.

A Row Code	B Description	C Format Code	D Related Formulas / Rows	F Normal Balance	J Link to Financial Dimensions
100	Cash				+MAINACCOUNTCATEGORY = [CASH]
130	Net Sales			C	+MAINACCOUNTCATEGORY = [SALER...
160	Cost of Goods				+MAINACCOUNTCATEGORY = [COGS]
190					
220	Gross Profit	TOT	130-...		

3. To define the account categories for those financial dimensions, double-click in the furthest-right column in the next window that pops up. That column’s label is not always visible at first, but it is MAINACCOUNTCATEGORY.

Dimensions ? X

(All) [Edit Icon]

Operator (+/-)	Account	Category
+		MAINACCOUNTCATEGORY
+		[SALERETDIS:SALES]
+		
+		
+		
+		

OK Cancel

FYI, [here's the advantage of using categories.](#))

- Click the “...” buttons beside the “From:” and “To:” fields to select the categories you want to include from a dropdown. In this case, we’ll include both Sales (SALES) and Sales Returns and Discounts (SALERETDIS) to get Net Sales.

MAINACCOUNTCATEGORY ? X

☒ Individual or range

From: To:

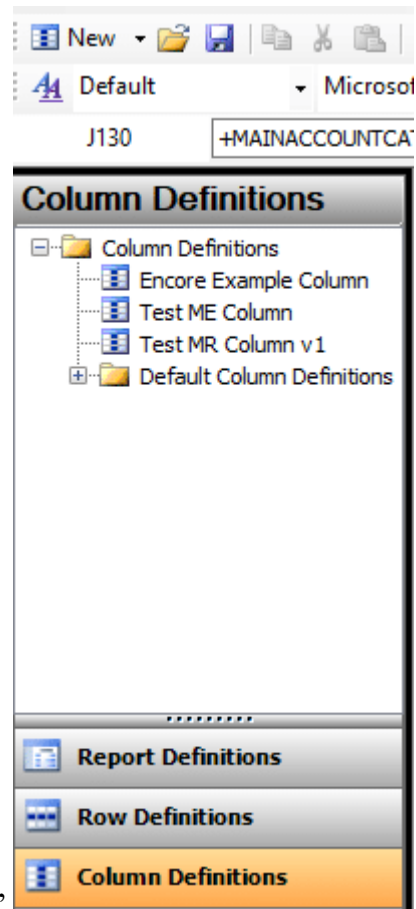
SALERETDIS ... SALES ...

- Save your row definition with a new name.

Defining Columns in Report Designer for D365FO

Columns are mostly used for showing different periods or years in a report.

1. Click on Column Definitions in the left-hand side of the window. Then either click on



an existing definition to edit or click on “New”.

2. Set headers for each column. Header 2 is useful for inserting dynamic values, like the calendar month to which the column refers.

	A	B	C	D	E
Header 1		Current	Current YTD	Last Year	Last Year YTD
Header 2		@CalMonth...	@CalMonth...	@CalMonth...	@CalMonthLong
Header 3					
Column Type	DESC	FD	FD	FD	FD
Book Code / Attribute Category		Actual	Actual	Actual	Actual
Fiscal Year		BASE	BASE	BASE-1	BASE-1
Period		BASE	BASE	BASE	BASE
Periods Covered		PERIODIC	YTD	PERIODIC	YTD
Formula					
Column Width	AutoFit	AutoFit	AutoFit	AutoFit	AutoFit

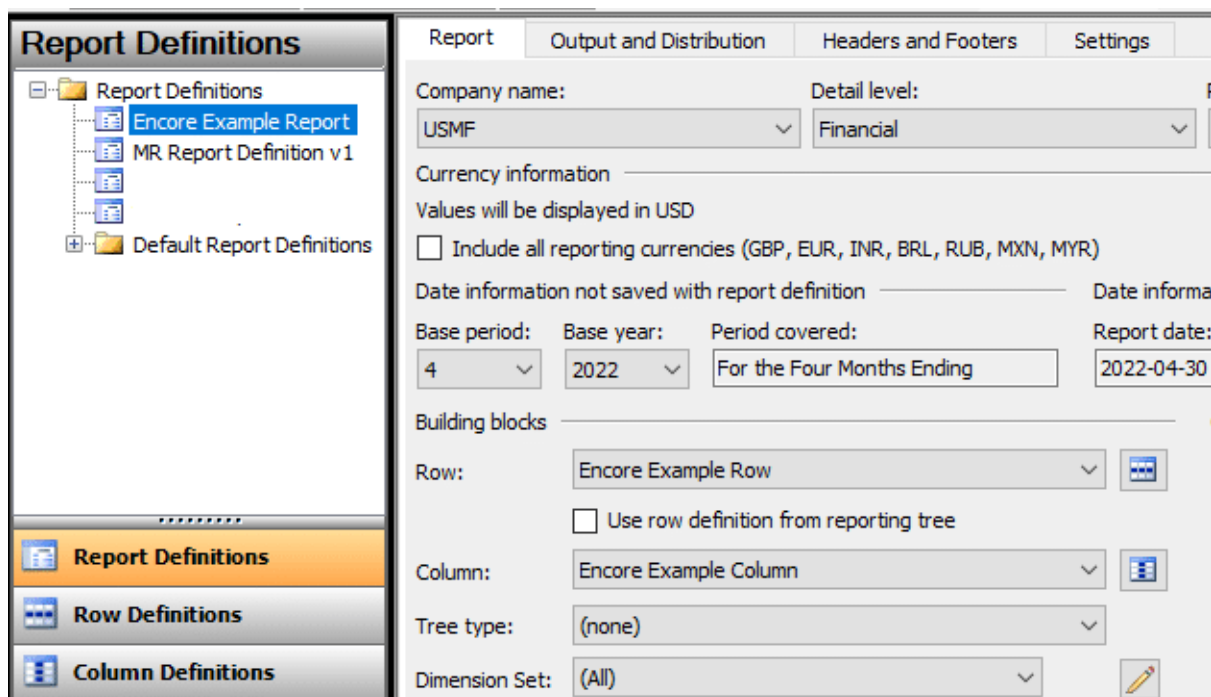
3. Set the fiscal year for each column (usually either “BASE” or “BASE-1”).
4. Set the periods and periods covered. For instance, a column with Fiscal Year BASE- and Periods Covered “Periodic” would show figures for the current month in the previous fiscal year.
5. Save your row definition with a new name.

Report Definition in Report Designer for D365FO

Report definition is where you select the row definition, column definition, and trees for the report. In the report definition, you also set:

- Parameters for the base period for each column.
- Rounding: For instance, do you want this report rounded to the nearest thousand dollars or million dollars?
- Where you want the report created. By default, the system puts the report into a library, but you can also publish it as an Excel spreadsheet, etc.

Select Report Definition from the right-hand menu and either choose an existing report to edit, or create a new one. Then in the “Building blocks” section, choose the row definition and column definition.



The screenshot shows the 'Report Definitions' window. On the left, a tree view shows 'Report Definitions' with sub-items 'Encore Example Report', 'MR Report Definition v1', and 'Default Report Definitions'. Below this are three buttons: 'Report Definitions' (highlighted), 'Row Definitions', and 'Column Definitions'. The main pane has four tabs: 'Report', 'Output and Distribution', 'Headers and Footers', and 'Settings'. The 'Report' tab is selected, displaying the following configuration:

- Company name:** USMF (dropdown)
- Detail level:** Financial (dropdown)
- Currency information:** Values will be displayed in USD. ☐ Include all reporting currencies (GBP, EUR, INR, BRL, RUB, MXN, MYR)
- Date information not saved with report definition:**
 - Base period:** 4 (dropdown)
 - Base year:** 2022 (dropdown)
 - Period covered:** For the Four Months Ending (text box)
 - Report date:** 2022-04-30 (text box)
- Building blocks:**
 - Row:** Encore Example Row (dropdown)
 - ☐ Use row definition from reporting tree
 - Column:** Encore Example Column (dropdown)
 - Tree type:** (none) (dropdown)
 - Dimension Set:** (All) (dropdown)

Later when you want to run the same report for a different period, you can just regenerate after changing the Base period, and the Base year as required. The system can be set to the system date minus one (S-1), so it auto generates the previous month’s statements.

Tip: Reporting by Categories vs Reporting by Account Numbers

The advantage of using “categories” of accounts to build a report is that the report will automatically add new accounts within the category. For instance, if you add a new savings account, it will automatically be added to a balance sheet report built by categories.

On the other hand, if you do the row spec for your balance sheet by account number instead of category, you’ll have to remember to check that each new bank account, etc., gets properly to the report.

Examples of Financial Reports

How to Create a Balance Sheet Report in Dynamics 365 F&O

To make a common balance sheet by categories in financial reports in Finance & Operations, you could set it up as follows:

1. Set your rows as cash, accounts receivable, inventory, prepaid, fixed assets, other assets, accounts payable, taxes payable, other payable, long-term debt, owners' equity, and net P&L YTD.
2. Set your columns as current month, last month, and last-year current month.
3. Don't use trees unless you are reporting for a multi-company organization, in which case you would use trees by company.
4. For report definition, use the balance sheet row, balance sheet column, and no tree (unless it's multi-company).

How to Create an Income Statement Report in Dynamics 365 F&O

To make a common income statement by categories in Dynamics 365 Finance & Operations, you could set it up as follows:

1. Set your rows as sales, cost of sales, direct expense, and admin expense.
2. Set your columns as current month, last-year current month, current year to date, last-year current YTD. You could also add, between those, percentage of sales. (Your board of directors will ask if percentage of sales has changed.)
3. Set your trees to department, division, or both.
4. For report definition, use the income statement row, income statement column, and trees for department and/or division.

Advantage of Financial Reports in D365

The financial reports tool has a significant advantage over SSRS or even Power BI: It allows you to do nonsequential groupings of accounts, like liabilities and assets. If a certain account switches from a liability to an asset, financial reports in D365 can still report on it correctly.

SSRS and Power BI work sequentially through accounts, taking, for instance, all accounts numbered 1000-1999 in a certain group. So it can be much easier to write a financial statement in financial reports than in SSRS or even Power BI.

Limitations of Financial Reports in Dynamics 365 Finance & Operations

There are 3 important limitations of financial reports, which are that it is GL only, has limited granularity, and it isn't speedy.

- General ledger only: Financial reports works with the General Ledger only. You can't conveniently bring in data from other sources.
- Limited granularity: Financial reports works at the account summary level. For instance, if you don't have a separate GL code for each employee, and you want to

drill into their meal expenses and see who spent how much, financial reports won't do that.

- Not speedy: This is why financial reports is usually configured to work in the background, so you can perform other tasks in your ERP while you wait.

If you want to get more granular or bring in other data sources, you are pushing the limits of financial reports in D365FO, and it might be time to engage a partner and explore Power BI.

Advanced Financial Reports in Dynamics 365 F&O

Some customers need more advanced reporting features than are practical for them to build in-house with the financial reports tool. Common scenarios we see are:

- You have a specific sub-report in Excel that you are currently punching in manually, taking the info from General Ledger. (For instance, you may need to do this to get details on amounts spent on meals and entertainment.) But you want to automate the data entry and be able to drill in and report on who spent what.
- You want a drilldown sub-report that shows certain lines or calculations for a business- or industry-specific allocation report. We see that in forestry for instance,